Bethlee M Lindor

Personal Finance Workshop

The Most Important Thing to Know About Money

Being poor or low on funds is <u>not</u> something to feel shame about.

The only people who want you to feel bad are those that benefit from you staying there.

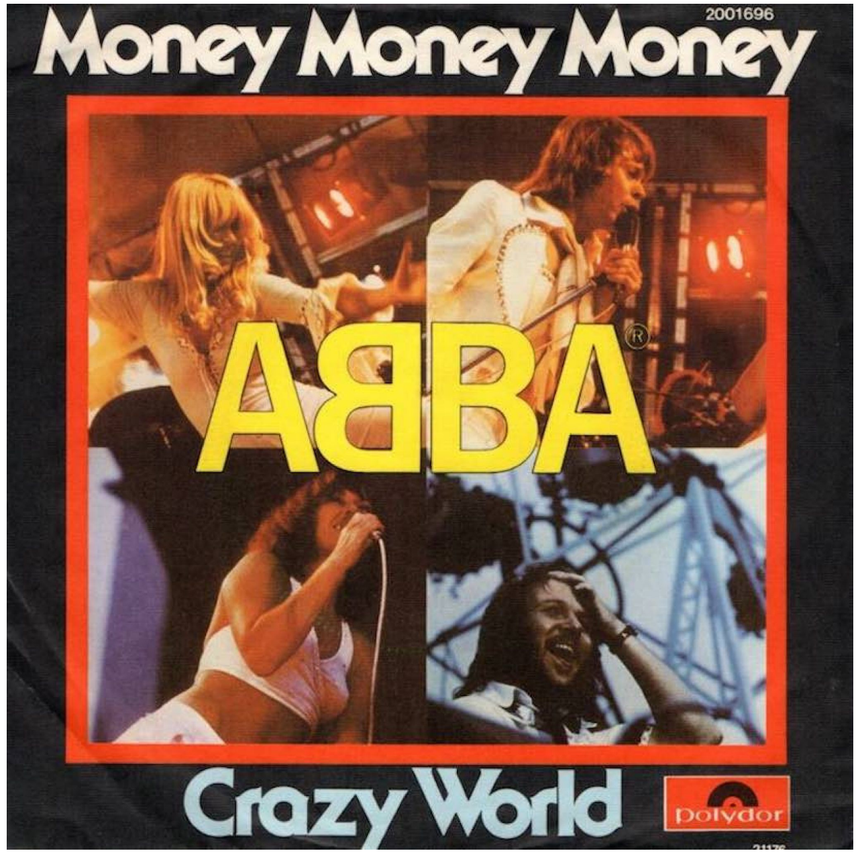
Checking how much money you have is the best first step for financial security.

You have to know where you're starting from.

Planning for life's unexpected moments will make you feel more secure.

Better to be prepared than not.

Agenda



1. What do you want to learn?
2. Banking
3. Money Management
4. Credit Cards
5. Income Taxes

01

Banking

- Rate of inflation is **3-4%** (U.S.)
- Average interest for a (U.S.) savings account is **0.42%**
- You're losing money if you keep your money in a bank that gets you less than 0.42%.

Example

2018 2020 2022 2024

Add $10K in bank at 0.42% APY

$10K in 6 years at 4% inflation: $12,253

Worth $10,255 in 6 years

Like saying your $10K is worth $7,347 after 6 yrs.

Banking Terms

FDIC: branch of government that oversees bank. They'll insure your money up to a certain amount if bank goes under, usually $250K.

Interest: money added to the total.

Accrued Interest: interest earned but not yet paid, usually on loans.

APR: annual percentage rate usually used in context for loans and mortgages. Doesn't include compounding things.

APY: annual percentage yield is amount you gain from keeping your money in a given account in a year. Includes compounding interest.

Limited transactions: how many transactions you can do on some accounts, usually for high yield savings accounts (HYSA) and certificates of deposit (CD).

Types of banks

Retail Bank

Supermarket banks.

They offer lots of general services: checking, savings, loans, etc.

Credit Union

Co-Op not-for-profit banks.

They have less services than retail such as ATMs but usually better interest rates.

Online Bank

Virtual banks.
(no physical location)

Some offer really good savings rates, but you have even less immediate access.

Checking Account

money your debit card uses

highly liquid

worst returns

Savings Account

easy access for emergencies

limited withdrawals

okay returns

High Yield Savings Accnt.

even higher returns than regular

have to wire transfer money

limited transitions

rates subject to national amount

Other: CD, MM, etc.

put money away for agreed amount of time

locked in rate (not affected if changed)

DO NOT TOUCH (penalties)

some offer really good returns

ADVERT FOR SOMETHING
(doesn't mean they're bad, but don't assume they're the best)

Bask Interest Savings Account

4.6 ★★★★½ Forbes ADVISOR

On Bask Bank's Website
Member FDIC

Annual Percentage Yield	5.10%
Minimum Deposit Requirement	$0
Monthly Maintenance Fee	$0

Why We Picked It

Pros & Cons

- ✓ No monthly fees
- ✓ No minimum deposit or balance requirements
- ✓ Interest compounds daily
- ✗ No live chat support
- ✗ No in-person branches

Details

Bask Bank is part of Texas Capital Bank. This savings account charges fees for outgoing wire transfers. Though you can't walk into a branch as this is an online-only bank, Bask Bank customers have access to both email and phone support.

Interest compounds daily and is credited monthly on the last day of each statement cycle. Customers earn 5.10% APY with no minimums or activity requirements. Customers need to make a deposit within 15 days of account opening to avoid closure.

Best High-Yield Online Savings Accounts From Our Partners

Bank/institution	NerdWal
SoFi Checking and Savings LEARN MORE at SoFi Bank, N.A., Member FDIC	★ 4.5 Best for Yield On Savings
BARCLAYS Barclays Online Savings Account LEARN MORE at Barclays, Member FDIC	★ 4.5 Best for Yield On Savings Accounts

READ THE TERMS AND CONDITIONS

t High-Yield Online Savings Accounts

ACCOUNT	FORBES ADVISOR RATING	ANNUAL PERCENTAGE YIELD	MIN RE
Milli Milli Savings Account	4.8 ★★★★★ Forbes ADVISOR	4.75%	
Bask Bank Bask Interest Savings Account	4.6 ★★★★½ Forbes ADVISOR	5.10%	
M M1 High-Yield Savings Account	4.5 ★★★★½ Forbes ADVISOR	Up to 5.00%	

02

Planning Your Money

- Daily/monthly cost of living

  [rent, utilities, food, medication, transportation]

- Some “experts” quote 50/30/20 strategy but depends on your situation.

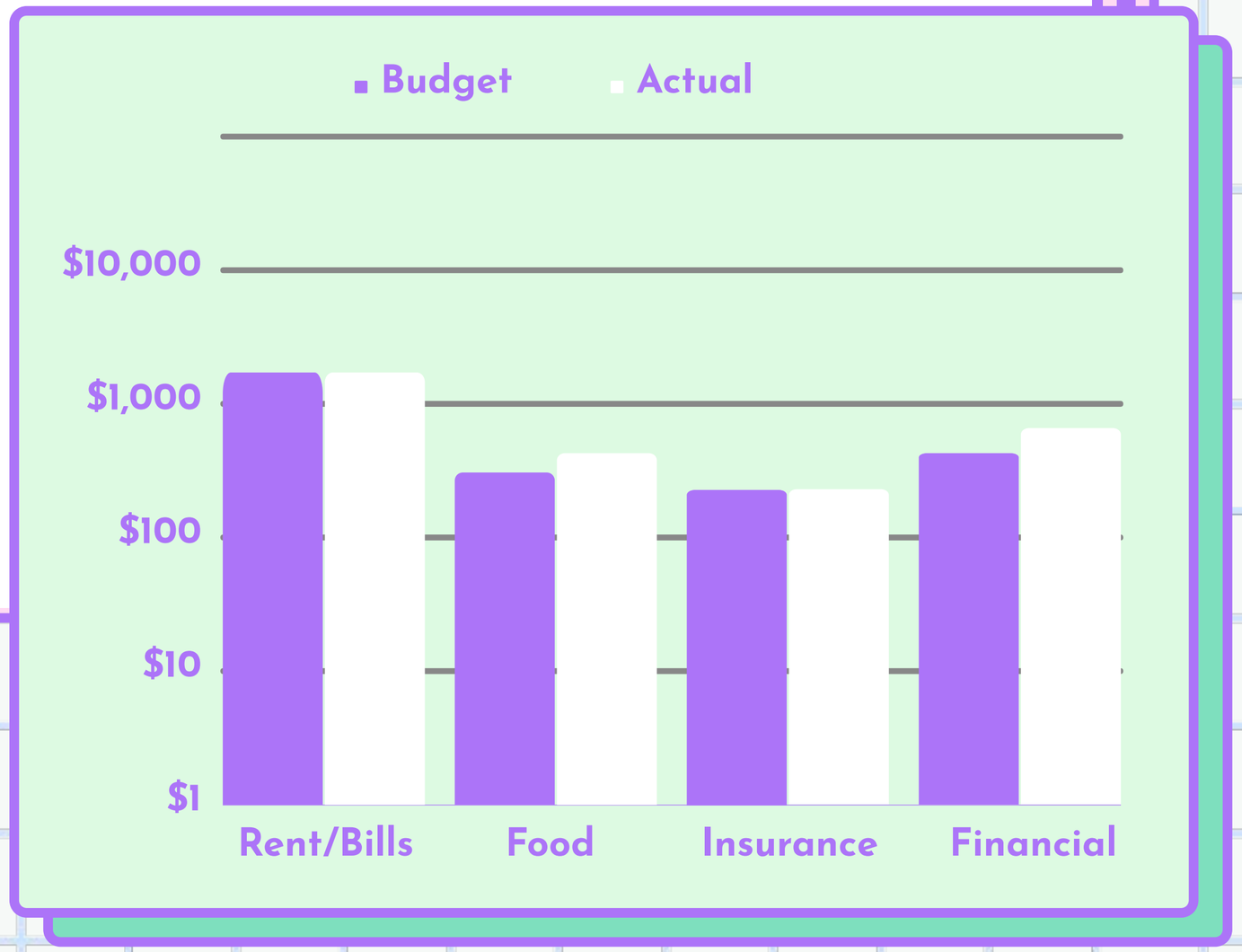
- Must have fun money

  [so you don’t burn out and get sad]

BUDGET INCOME FOR EXPENSES

YOU NEED TO DO THIS!

- Can check every 6 months and adjust as needed.
- Plan for debts (credit card or loans) and transfers to savings (retirement or emergency).



Cost of Living

things to keep you alive

shelter/food/work

insurance (protection)

Emergency Fund

if rent increases/medical issue

3-6 months of cost of living (if you can)

could exist in a HYSA to earn fun money

Fun Money

look out for over-spending

make sure fun thing is actually fun

monitor subscriptions services (worth)

Goal Money

plan to pay off debts

big goals: buy a car or go on vacation

retirement (roth or traditional)

03

Credit Cards

- Essential for adulthood in this capitalist hellscape
- What financial institutions use to gauge your likelihood of paying off a debt
- Credit score is most affected by payment history and amounts owed

creditwise

Offer Expires 3/23/24

See Terms and apply

Earn unlimited 1.5% cash back on every purchase, every day

Bonus Offer
Earn a one-time $200 cash bonus once you spend $500 on purchases within 3 months from account opening

Annual Fee
$0

Purchase Rate
0% intro APR for 15 months; 29.99% variable APR after that

Fraud Coverage

Fees	
Membership Fee	No Fee
Over-Limit Fee	No Fee
Late Fee	Up to $8
Foreign Transaction Fee	No Fee
Current Purchase APR	
Current Purchase APR	25.24% Variable
Cash Advance	
Cash Advance APR	25.24% Variable
Cash Advance Fee	$10 or 3%

- some accounts have sign on bonuses
- every bank will have a full document explaining each fee and how to avoid it

high interest rate can vary based on the market and your "creditworthiness"

make sure you're getting something appropriate for your situation

TLDR: CREDIT CARDS

PROS

- Can buy something big and slowly pay it off in bits
- You can build credit for collateral on huge purchases like a car
- Some cards let you earn rewards

CONS

- Average rate is 24.46% (U.S.)
- They can trick you into over-spending
- The more of your credit you use, the lower your score gets

Check your credit!

Experian, Transunion, Equifax

free with most credit cards

soft inquiries don't affect score

Companies make money on fees and high interest rates.

MY CREDIT USAGE

13%

High Impact on Score

Below Avg	Average	**Good**	Excellent
61% - 100%	31% - 60%	11% - 30%	0% - 10%

PAYMENTS MADE ON TIME

100%

Very High Impact on Score

Below Avg	Average	Good	**Excellent**
<90%	90% - 97%	98% - 99%	100%

Impact

AGE OF YOUR OLDEST ACCOUNT

7 Yrs

Moderate Impact on Score

Below Avg	**Average**	Good	Excellent
0 - 2 Yrs	3 - 7 Yrs	8 - 24 Yrs	25+ Yrs

TOTAL AVAILABLE CREDIT

$ 5,247

Low Impact on Score

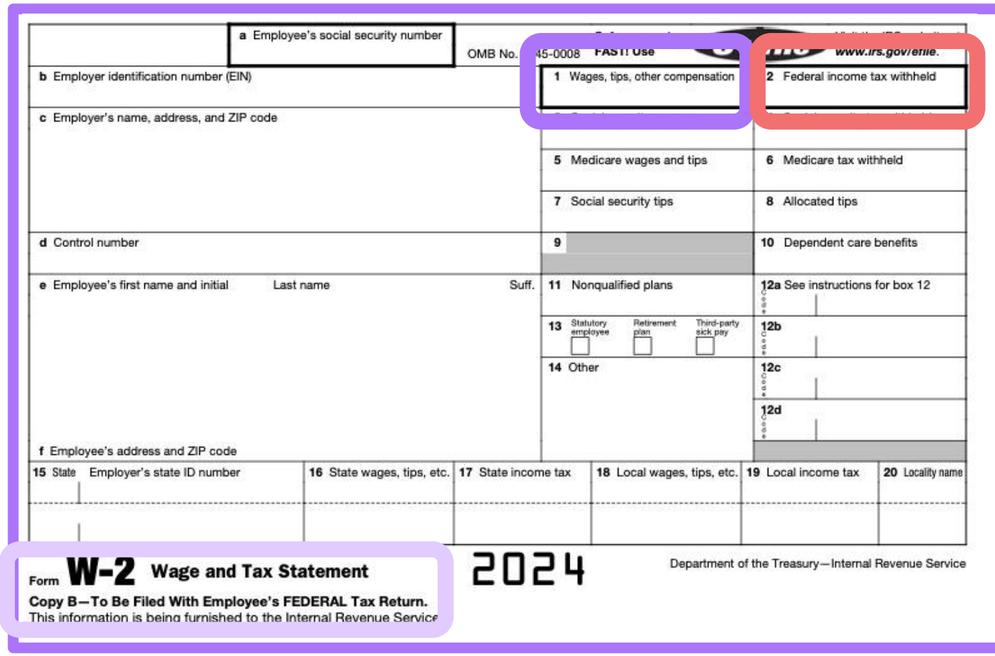
Below Avg	**Average**	Good	Excellent
$0 - 2.5K	$2.5K - 15K	$15K - 50K	$50K+

04

Filing Your Income Taxes

- W-2 or 1098-T form
- IRS instructions (new info)
- Can e-file if income < $79K
- 1040-[X] forms due **April 15**
- can file for 6 month extension

W-2 Statement from Employer

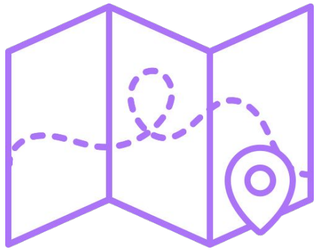

a Employee's social security number
OMB No. 45-0008 FASTI Use
www.irs.gov/efile.
b Employer identification number (EIN)
1 Wages, tips, other compensation
2 Federal income tax withheld
c Employer's name, address, and ZIP code
5 Medicare wages and tips
6 Medicare tax withheld
7 Social security tips
8 Allocated tips
d Control number
9
10 Dependent care benefits
e Employee's first name and initial Last name Suff.
11 Nonqualified plans
12a See instructions for box 12
13 Statutory employee Retirement plan Third-party sick pay
12b
14 Other
12c
12d
f Employee's address and ZIP code
15 State Employer's state ID number
16 State wages, tips, etc.
17 State income tax
18 Local wages, tips, etc.
19 Local income tax
20 Locality name
Form W-2 Wage and Tax Statement
2024
Department of the Treasury—Internal Revenue Service
Copy B—To Be Filed With Employee's FEDERAL Tax Return.
This information is being furnished to the Internal Revenue Service

THINGS TO KNOW

Getting a W-2 doesn't necessarily mean that you have to file taxes, depending on IRS thresholds.

- copy B for federal filing
- box 1: wages & compensation
- box 2: taxes already paid

INTERNATIONAL SCHOLARS

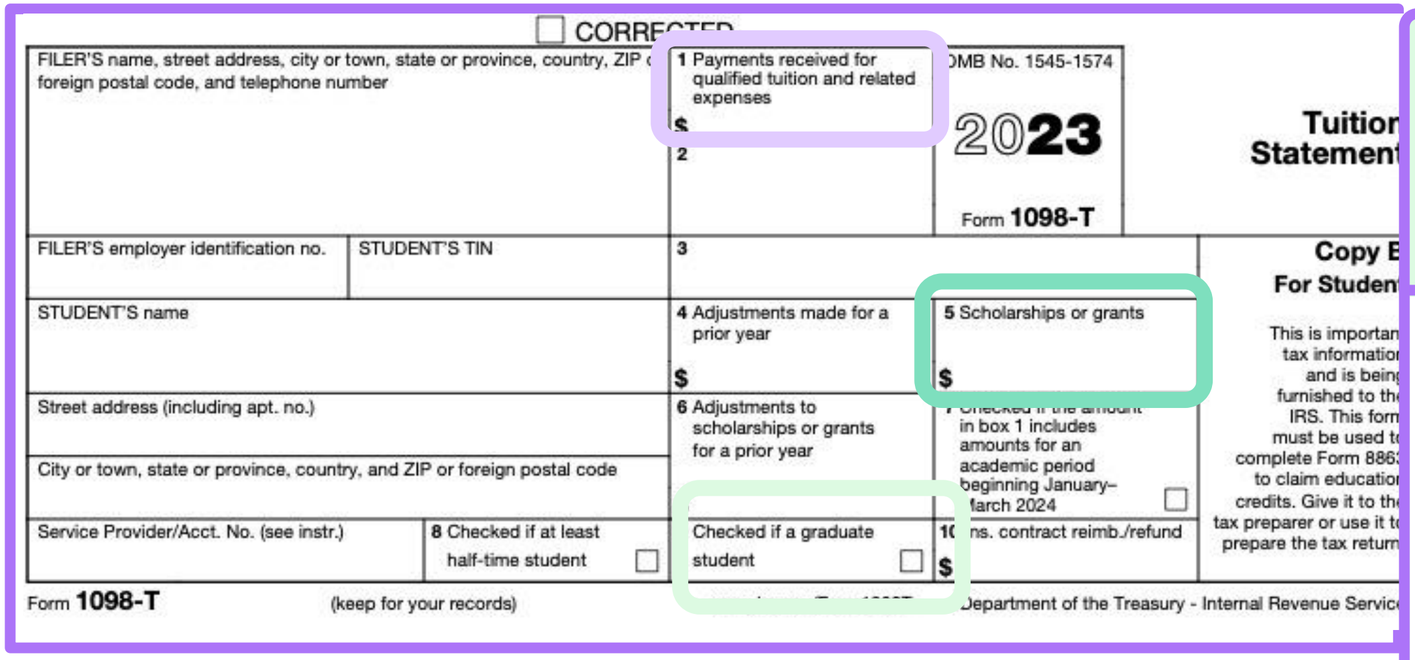


- UW's International Student Services provides free tax prep software, which will determine whether you're a resident or non-resident alien.
- Resident aliens are treated the same as U.S. citizens for tax withholding, but there are special non-resident rules (due to politics).
- UW Volunteer Income Tax Preparation (VITA) program offers free tax help/preparation. Also, public libraries, usually have tax prep programs.

DOCUMENTS?

- 1042-S: if your fellowship money > tuition (i.e. you get checks)
- 1099: if you get income as an independent contractor (CPT)
- I-20 (for F-1) or DS-2019 (for J-1)
- Passport, SSN (or TIN)
- Institution host sponsor info
- U.S. entry and exit dates for any travel.

1098-T Statement (if you're a student)



CORRECTED

FILER'S name, street address, city or town, state or province, country, ZIP or foreign postal code, and telephone number		1 Payments received for qualified tuition and related expenses $	OMB No. 1545-1574 2023 Form 1098-T
		2	
FILER'S employer identification no.	STUDENT'S TIN	3	
STUDENT'S name		4 Adjustments made for a prior year $	5 Scholarships or grants $
Street address (including apt. no.)		6 Adjustments to scholarships or grants for a prior year	7 Checked if the amount in box 1 includes amounts for an academic period beginning January–March 2024
City or town, state or province, country, and ZIP or foreign postal code			
Service Provider/Acct. No. (see instr.)	8 Checked if at least half-time student	Checked if a graduate student	10 Ins. contract reimb./refund $

Tuition Statement

Copy B For Studen

This is importan tax informatio and is being furnished to the IRS. This form must be used to complete Form 8863 to claim education credits. Give it to the tax preparer or use it to prepare the tax return

Form 1098-T (keep for your records) Department of the Treasury - Internal Revenue Service

THINGS TO KNOW

Not filed for non-residents unless requested by student.

box 1: payments made for tuition and fees

box 5: what student received from grants via school

Special box for grad students :)

Lots of free filing options (ex. TaxAct)

	2019	2020	2023	2024
Total Income	$34,200	$38,785	---	---
Adjusted Gross Income Number from box 1 of W-2 or box 5 from 1098-T forms (and taxable interest from 1099-INT, dividends 1099-DIV and any other income sources)	$ 34,200	$ 38,785	$	$
Payments Taxes already paid from box 2 of W-2 or estimated taxes	$ 881	$ 3,111	$	$
Deduction Find this on IRS.gov or calculate from receipts (itemized)	$ 12,200	$ 12,400	$	$
Taxable Income Subtract deduction from AGI	$ 22,000	$ 26,385	$	$
Tax Find on tax table on IRS.gov (based on taxable income)	$ 2,449	$ 2,968	$	$

File 1040-ES (if you get grants/scholarships)

Separate here.

Form **1040-ES** Department of the Treasury Internal Revenue Service

2024 Estimated Tax

Payment Voucher 1

OMB No. 1545-0074

File only if you are making a payment of estimated tax by check or money order. Mail this voucher with your check or money order payable to "**United States Treasury**." Write your social security number and "2024 Form 1040-ES" on your check or money order. Do not send cash. Enclose, but do not staple or attach, your payment with this voucher.

Calendar year—Due April 15, 2024

Amount of estimated tax you are paying by check or money order.

Print or type			
	Your first name and middle initial	Your last name	Your social security number
	If joint payment, complete for spouse		
	Spouse's first name and middle initial	Spouse's last name	Spouse's social security number
	Address (number, street, and apt. no.)		
	City, town, or post office. If you have a foreign address, also complete spaces below.	State	ZIP code
	Foreign country name	Foreign province/county	Foreign postal code

If line 3 is: Over—	But not over—	The tax is:			of the amount over—
$0	$11,600	----------	+	10%	$0
11,600	47,150	$1,160.00	+	12%	11,600
47,150	100,525	5,426.00	+	22%	47,150
100,525	191,950	17,168.50	+	24%	100,525
191,950	243,725	39,110.50	+	32%	191,950
243,725	609,350	55,678.50	+	35%	243,725

THINGS TO KNOW

For upcoming year's tax rate.

4 quarterly payments

estimated tax on income that isn't (or won't be) withheld

Everything is made up and the points don't matter because wealthy people can find loopholes to not pay taxes.

Wages from W-2	$ 29,369.70
Grants from 1098-T	~37,268.30
Tax Payments Withheld	$ 2,118.08
Standard Deduction (SD)	$ 13,850

INFORMATION SUBMITTED TO THE IRS

The following information is being sent to the IRS. Box numbers correspond to IRS form 1098-T, also called the "Tuition Statement". Any box number not li below should be considered to have a zero dollar amount.

```
Box 1 : Payments for qualified tuition & related expenses .. $33,759.00
Box 5 : Scholarships or grants............................ $42,198.67
Box 7 : Expenses include an amount for 2023.................
Box 8 : Student is at least half-time...................... Yes
Box 9 : Student is a graduate student...................... Yes
```

DETAIL OF CHARGES & PAYMENTS AND SC

The following information is NOT being sent to the IRS.

QUALIFIED TUITION AND RELATED EXPEN

Charged	Transaction	Expense
12/29/21	WINTER 2022 TUITION	10,212.00
3/23/22	SPRING 2022 TUITION	10,212.00
6/15/22	SUMMER 2022 TUITION	2,917.00
9/23/22	AUTUMN 2022 TUITION	10,418.00
	TOTAL:	33,759.00

1 Wages, tips, other comp. 29369.70	Federal income tax withheld 3110.80
3 Social security wages	Social security tax withheld
5 Medicare wages and tips	6 Medicare tax withheld

c Employer's name, address, and ZIP code
University of Washington
4333 BROOKLYN AVE NE STE O-2
SEATTLE, WA 98195

d Control number

Income

Attach Form(s) W-2 here. Also attach Forms W-2G and 1099-R if tax was withheld.

If you did not get a Form W-2, see instructions.

1a Total amoun
b Household e
c Tip income r
d Medicaid wa
e Taxable dep
f Employer-pr
g Wages from
h Other earned
i Nontaxable
z Add lines 1a
2a Tax-exempt
3a Qualified div
4a IRA distribut
5a Pensions an
6a Social secur
c If you elect t
7 Capital gain
8 Additional in
9 Add lines 1z
0 Adjustments
1 Subtract line
2 Standard de
3 Qualified bus
4 Add lines 12
5 Subtract line

Attach Sch. B

Standard Deduction for—
- Single or Married filing separately, $13,850
- Married filing jointly or Qualifying surviving spouse, $27,700
- Head of household, $20,800
- If you checked any box under *Standard Deduction*, see instructions.

For Disclosure, Privacy Act, and Pape

52,000

52,000	52,050	6,753	5,803	6,753
52,050	52,100	6,764	5,809	6,764
52,100	52,150	6,775	5,815	6,775
52,150	52,200	6,786	5,821	6,786
52,200	52,250	6,797	5,827	6,797
52,250	52,300	6,808	5,833	6,808
52,300	52,350	6,819	5,839	6,819
52,350	52,400	6,830	5,845	6,830
52,400	52,450	6,841	5,851	6,841
52,450	52,500	6,852	5,857	6,852
52,500	52,550	6,863	5,863	6,863
52,550	52,600	6,874	5,869	6,874
52,600	52,650	6,885	5,875	6,885
52,650	52,700	6,896	5,881	6,896
52,700	52,750	6,907	5,887	6,907
52,750	52,800	6,918	5,893	6,918
52,800	52,850	[illegible]	5,899	6,929
52,850	52,900	6,940	5,905	6,940

Wages + Grants = AGI

$52,780 (taxable) = AGI - SD

Tax: $6,918

Amount Owed = Tax - PW

Questions?

Hope you've been able to gain financial literacy and comfort with handling money.

Check **IRS.GOV** instructions for any filing changes.

EQUITEA

PERSONAL FINANCE WORKSHOP

Date

Friday March 8, 2024

Time

2:30pm

Location

B305 and on Zoom